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Starbucks's Loyalty Reigns



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Starbucks' Customer-based Brand Equity



- Brand Equity primarily comes from brand awareness and brand image.
 - Customer-Based Brand Equity: the value of a brand that comes from the consumers' perceptions and experiences.
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- Starbucks is most well-known for their beverages, specifically their coffees.
 - They sell other products as well, such as bags of coffee to brew at home and reusable cups, which have their iconic logo. This helps build brand awareness.

Starbucks' Customer-based Brand Equity (Cont.)

Technology and Social Media Focused Brand

- first offered Wi-Fi service in their shops in 2002 and since then, has continued to evolve and expand as technology evolved.

Mobile App Focus

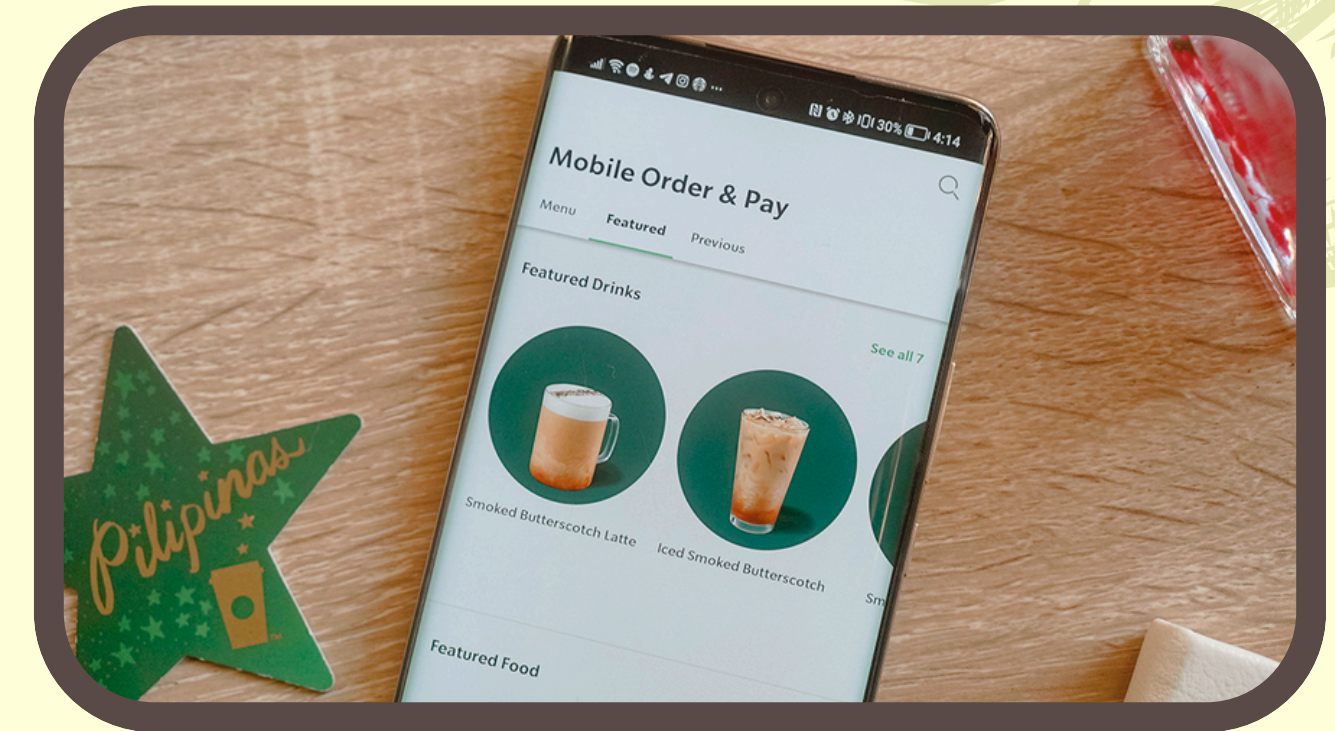
- When mobile devices like smartphones became commonplace, Starbucks capitalized on this and honed their focus on their mobile app
- Most prominent features
 - Mobile Order and Pay
 - Starbucks Rewards Program
- This provides convenience and incentive



Starbucks' Customer-based Brand Equity (Cont.)

- Starbucks is influential on social media as well, which benefited them greatly due to a large increase in online users and profits.
- One campaign they did was allowing anyone with a Twitter account linked to their Starbucks card to buy a coffee for someone else on Twitter by tweeting @tweetacoffee.

- Overall, Starbucks' Customer-Based Brand Equity is the result of their iconic products, focus on technology, and social media presence, cementing them as a brand that's easily recognizable, technology-centered, provides convenience for their customers, encourages brand loyalty, and frequently interacts with its customer base on social media.



Starbucks Rewards App Features

Mobile Order & Pay:
order and pay via
app

Green & Gold reward
tiers track Stars

Optional automatic
balance reload and
digital tipping

Message center
delivers promotions
and new menu info

Digital gift cards and
store locator



Most Valuable Feature

Mobile Order & Pay: order and pay via app

- 7 million orders per week within 3 months
- 32% growth in active mobile users (2014–2015)
- Increases revenue, transactions, and profitability
- Personalized upselling via suggestive selling
- Key long-term business driver



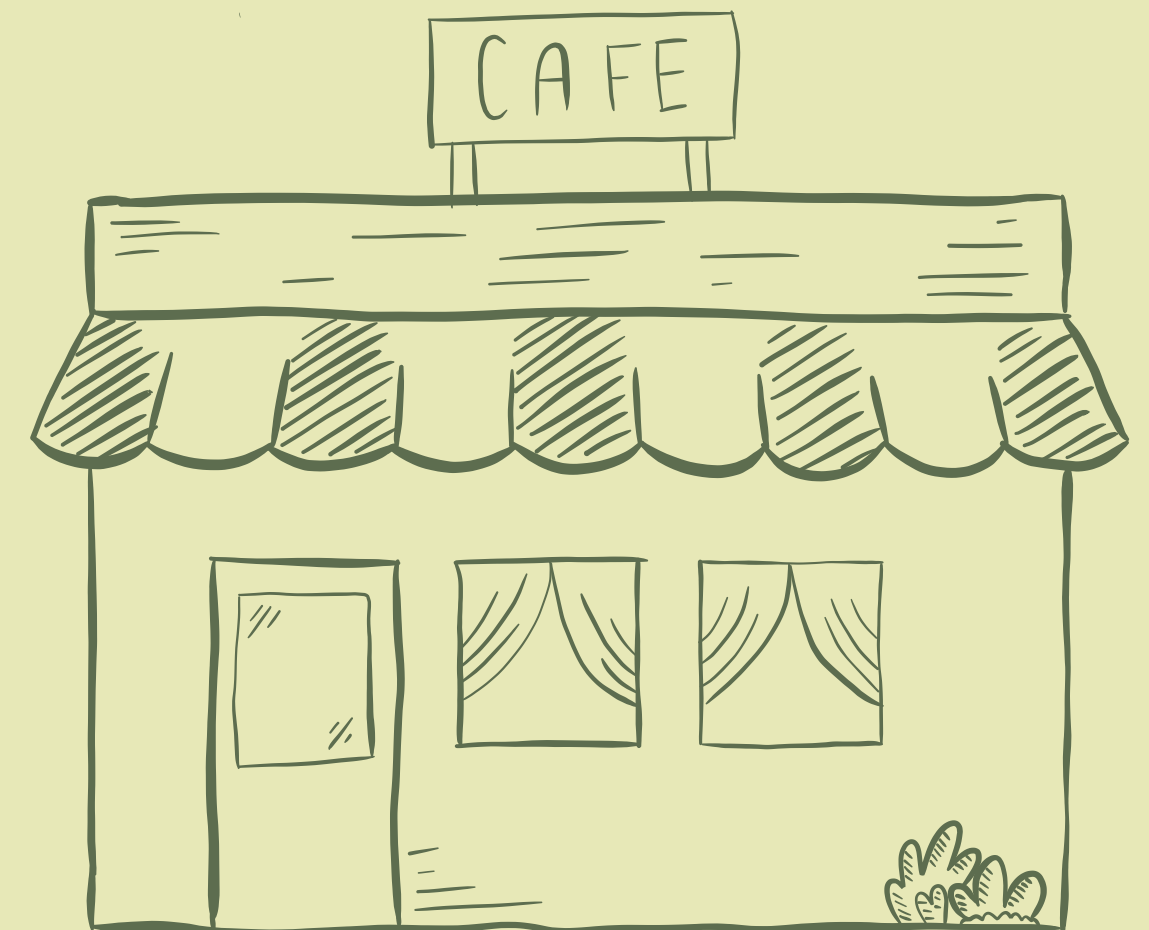
Starbucks' Digital and Social-Media Focus

Heavy focus on transactional platforms:

- **Facebook:** 35+ million fans. By 2014 94% of FB users were either fans of Starbucks or friends with someone who was a fan.
- **Twitter:** 11+ million followers, \$20 gift card campaigns, @tweetacoffee
- **Sms/email:** promotional offers & loyalty incentives
- **Mobile app:** 20+ million members worldwide by the end of 2015

Additional Engagement Platform

- **My Starbucks Idea (2008 launch)**
 - Customers submitted product & store suggestions
 - Users voted ideas up/down
 - "Ideas in Action" showcased implemented ideas
 - Encouraged participation, but still product focused



Possible Missed Channels



- Rapid growth during early 2010s
- Highly visual platform (latte art, seasonal drinks, etc..)
- Strong appeal to young adults & early adopters
- Opportunity for lifestyle branding & emotional engagement



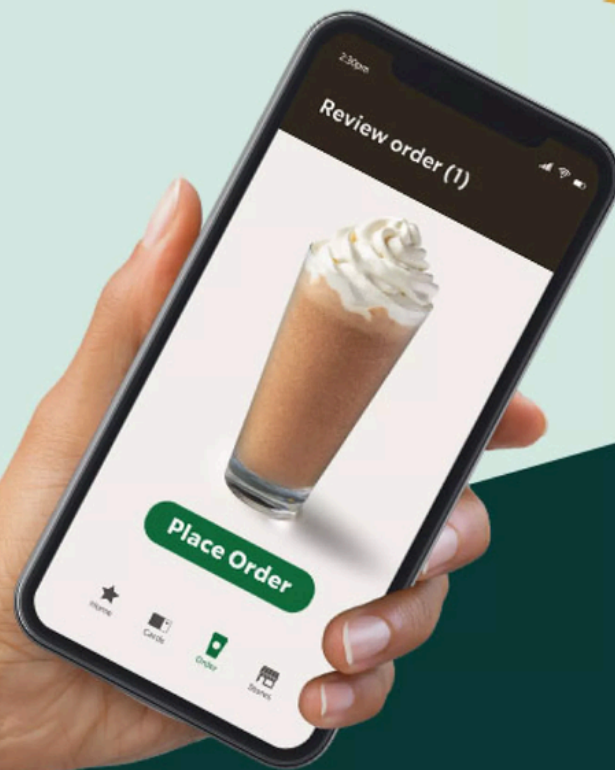
- Popular among creative & college-age users
- visual storytelling & community-based platform
- Could reinforce authenticity & brand personality



- Massive national audience & cultural impact
- Opportunity to reach non-loyalty customers
- Could integrate with app downloads & rewards campaigns
- Potential to create viral social media buzz

Starbucks Mobile App in Building Brand Equity

**HELLO TO
STARBUCKS®
PICKUP**



Brand Loyalty

- Rewards program increases repeat purchases
- Easy earning & redeeming of "Stars"
- Higher switching costs vs. competitors

Brand Awareness

- Push notifications & seasonal promotions
- 7M+ mobile orders per week
- Direct, low-cost communication channel

Brand Image

- Seamless, convenient experience
- Consistent quality across locations
- Positions Starbucks as innovative & customer-focused

Works Cited

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- Liu, Xin. Brand Impression and Management. Available from: California State Polytechnic University, Pomona, LAD Custom Publishing, Inc, 2025.



Thank You

